ASIA PACIFIC ECONOMIC COOPERATION

Asia Pacific Economic Cooperation (APEC) is a regional organization for fostering Asia-Pacific Community. It was established in 1989 to further enhance economic growth and prosperity of the Asia-Pacific region with the objective of facilitating its economic growth, cooperation, trade and investment.

APEC at present comprises 21 members. They are Australia, Brunei Darussalam, Canada, Chile, People's Republic of China, Hong Kong, Indonesia, Japan, Republic of Korea, Malaysia, Mexico, New Zealand, Papua New Guinea, Peru, the Republic of the Philippines, the Russian Federation, Singapore, Chinese Taipei, Thailand, the United States of America, and Vietnam. APEC countries include the NAFTA, ASEAN and ANZUS countries who are better known as 'Member Economies'.

APEC operates on the basis of non-binding commitments, open dialogue and equal respect for the views of all the participants. Unlike the WTO or other multilateral trade bodies, APEC has no treaty obligations required of its participants. Decisions made within APEC are reached by consensus, and commitments are undertaken on a voluntary basis.

Purposes and Goals

APEC works with a vision to reduce tariffs and other trade barriers across the Asia-Pacific region. Its vision is best reflected in what is referred to as the "Bogor Goals" *of free and open trade and investment in the Asia-Pacific by 2010 for industrialized economies and 2020 for developing economies*. These goals were adopted by the leaders at their 1994 meeting in Bogor, Indonesia. In 1995, at the Lusaka Summit, an Action Agenda was evolved on the principles of voluntarism and flexibility and consensual approach. APEC also works to create an environment for the safe and efficient movement of goods, services and people across the borders in the region through policy alignment and economic and technical cooperation. By the year 2010, APEC leaders hope to achieve an additional 5 per cent reduction in the trade costs. To this end, a new Trade